
JANSSEN PHARMACEUTICAL

ANNUAL REPORT

FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

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COMPANY INFORMATION

Directors	Hugh Murphy Lorcan Travers Brendan O'Leary Dave Geelan
Company Secretary	Brendan O'Leary
Registered number	79963
Registered office	Janssen Pharmaceutical Little Island Industrial Estate Little Island Co Cork
Statutory auditors	PricewaterhouseCoopers Chartered Accountants and Statutory Audit Firm One Albert Quay Cork
Bankers	Citibank 25 Canada Square Canary Wharf London E14 5LB United Kingdom
Solicitors	Eugene F Collins Temple Chambers 3 Burlington Road Dublin 4

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DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

The directors present their annual report and the audited financial statements for the financial year ended 30 December 2018.

Statement of directors' responsibilities

The directors are responsible for preparing the directors' report and the financial statements in accordance with Irish law.

Irish law requires the directors to prepare financial statements for each financial year giving a true and fair view of the company's assets, liabilities and financial position at the end of the financial year and profit or loss of the company for the financial year. Under that law, the directors have prepared the financial statements in accordance with Irish Generally Accepted Accounting Practice (accounting standards issued by the UK Financial Reporting Council, including Financial Reporting Standard 101 Reduced Disclosure Framework and Irish law).

Under Irish law, the directors shall not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the company for the financial year and of the profit or loss of the company for the financial year.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether the financial statements have been prepared in accordance with applicable accounting standards and identify the standards in question, subject to any material departures from those standards being disclosed and explained in the financial statements; and
- prepare the financial statements on a going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to:

- correctly record and explain the transactions of the company;
- enable, at any time, the assets, liabilities, financial position and profit or loss of the company to be determined with reasonable accuracy; and
- enable the directors to ensure that the financial statements comply with the Companies Act 2014 and enable those financial statements to be audited.

The directors are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

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DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

Principal activities, review of the business and future developments

Janssen Pharmaceutical is an investment holding company. It is a fully owned subsidiary of Johnson & Johnson.

The company's dividend income for the financial year was €nil (2017: €333,230,000).

On 20th March 2018 Janssen Pharmaceutical merged with OMJ PR Holdings Limited. In consideration for the merger 1,250,000,000 ordinary shares in Janssen Pharmaceutical were issued to the shareholders of OMJ PR Holdings Limited as consideration for the transfer of assets and liabilities of OMJ PR Holdings Limited to Janssen Pharmaceutical. The difference between the nominal value of the shares issued and the transfer of assets and liabilities has been treated as a reserve arising on the merger.

The principal activity of the company is to act as an investment holding company now and in future financial years.

The company's financial year ends on the Sunday closest to 31 December, being 30 December 2018 for the current year (52 weeks) and 31 December 2017 for the prior year (52 weeks).

Profits, dividends and reserves

The loss for the financial year, after taxation, amounted to €1,904,031,000 (2017: profit of €2,486,073,000).

The directors do not recommend the payment of a dividend (2017: €Nil).

The company's statement of financial position shows total equity at 30 December 2018 of €22,521,099,000 (2017: €20,858,342,000).

Principal risks and uncertainties

The principal activity of the company is to act as an investment holding company. There are no major identifiable risk and uncertainties that would significantly impact the company.

Financial risk management

The policies set by the Group are implemented by the company's finance department. The department has a policy and procedures manual that sets out specific guidelines to manage price risk, credit risk, liquidity risk, interest rate cash flow risk and foreign exchange risk and circumstances where it would be appropriate to use financial instruments to manage these. The company does not have significant exposure to price risk, credit risk, liquidity risk or interest rate cash flow risk.

Research and development

Research and development for the group are carried out by other companies in the Johnson & Johnson group.

Subsequent events

There have been no events impacting the company since the financial year end.

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DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

Directors and secretary

The names of the persons who are currently or were directors at any time during the financial year ended 30 December 2018 are set out below. Except where indicated, they served for the full year:

Hugh Murphy (appointed 26 March 2018)
Lorcan Travers (appointed 26 March 2018)
Brendan O'Leary (appointed 26 March 2018)
Dave Geelan (appointed 26 March 2018)
T Demoncheaux (resigned 26 March 2018)
R Koors (resigned 26 March 2018)
A Birge (resigned 26 March 2018)
E Denman (resigned 26 March 2018)
P Wulfinfing (resigned 26 March 2018)

Brendan O'Leary is the company secretary and held this position from 26th March 2018 replacing Conyers Corporate Service (Bermuda) Limited.

Directors' and secretary's interests

The directors and secretary and their families had no other interest in the shares of the company or any other group company that is required to be disclosed in accordance with section 329 of the Companies Act 2014.

Accounting records

The measures taken by the directors to ensure compliance with the requirements of Sections 281 to 285 of the Companies Act 2014 with regard to the keeping of accounting records, are the support of appropriately qualified accounting personnel and the maintenance of computerised accounting systems. The company's accounting records are maintained at Janssen Pharmaceutical, Little Island Industrial Estate, Little Island, Co Cork.

Political donations

The Electoral (Amendment) (Political Funding) Act, 2012, requires companies to disclose all political donations over €200 in aggregate made during the financial year. The directors, on enquiry, have satisfied themselves that no such donations in excess of this amount have been made by the company.

Going concern

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end of €13,314,413,000 (2017: €13,406,903,000).

The company is reliant on implicit support from its ultimate parent company Johnson & Johnson. The company actively monitors the cash flow with the intention to enable a gradual repayment of the outstanding payable position. The company has a number of subsidiaries which have healthy cash flows which can sustain such a gradual repayment.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

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DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

Disclosure of information to auditors

Each of the persons who are directors at the time when this directors' report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Audit committee

The directors have decided not to establish an audit committee. The ultimate parent, Johnson & Johnson, already has an audit committee and all related financial controls in place which fulfil the financial oversight functions for the group as a whole.

Statutory auditors

The statutory auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office and a resolution that they will be re-appointed will be proposed at the upcoming Board Meeting.

This report was approved by the board on 16 December 2019 and signed on its behalf.

Lorcan Travers
Director

Brendan O'Leary
Director



Independent auditors' report to the members of Janssen Pharmaceutical

Report on the audit of the financial statements

Opinion

In our opinion, Janssen Pharmaceutical's financial statements:

- give a true and fair view of the company's assets, liabilities and financial position as at 30 December 2018 and of its loss for the year then ended;
- have been properly prepared in accordance with Generally Accepted Accounting Practice in Ireland (accounting standards issued by the Financial Reporting Council of the UK, including Financial Reporting Standard 101 "Reduced Disclosure Framework" and Irish law); and
- have been properly prepared in accordance with the requirements of the Companies Act 2014.

We have audited the financial statements, included within the Annual Report, which comprise:

- the statement of financial position as at 30 December 2018;
 - the income statement for the year then ended;
 - the statement of changes in equity for the year then ended; and
 - the notes to the financial statements, which include a description of the significant accounting policies.
-

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (Ireland) ("ISAs (Ireland)") and applicable law.

Our responsibilities under ISAs (Ireland) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Ireland, which includes IAASA's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which ISAs (Ireland) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

However, because not all future events or conditions can be predicted, this statement is not a guarantee as to the company's ability to continue as a going concern.



Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Directors' Report, we also considered whether the disclosures required by the Companies Act 2014 have been included.

Based on the responsibilities described above and our work undertaken in the course of the audit, ISAs (Ireland) and the Companies Act 2014 require us to also report certain opinions and matters as described below:

- In our opinion, based on the work undertaken in the course of the audit, the information given in the Directors' Report for the year ended 30 December 2018 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.
- Based on our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the Directors' Report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the statement of directors' responsibilities set out on page 2, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view.

The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the IAASA website at:

https://www.iaasa.ie/getmedia/b2389013-1cf6-458b-9b8f-a9802dc0c3a/Description_of_auditors_responsibilities_for_audit.pdf

This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with section 391 of the Companies Act 2014 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.



Other required reporting

Companies Act 2014 opinions on other matters

- We have obtained all the information and explanations which we consider necessary for the purposes of our audit.
 - In our opinion the accounting records of the company were sufficient to permit the financial statements to be readily and properly audited.
 - The financial statements are in agreement with the accounting records.
-

Other exception reporting

Directors' remuneration and transactions

Under the Companies Act 2014 we are required to report to you if, in our opinion, the disclosures of directors' remuneration and transactions specified by sections 305 to 312 of that Act have not been made. We have no exceptions to report arising from this responsibility.

Bernie O'Connell

Bernie O'Connell
for and on behalf of PricewaterhouseCoopers
Chartered Accountants and Statutory Audit Firm
Cork
19 December 2019

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**INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

		Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
	Note		
Net operating expenses		(42)	<i>(6,988)</i>
Operating loss	4	(42)	<i>(6,988)</i>
Impairment of investments in subsidiaries	11	(1,025,951)	<i>-</i>
Income from investments in subsidiaries	6	<i>-</i>	<i>333,230</i>
Interest receivable and similar income	7	<i>-</i>	<i>44</i>
Interest payable and similar expenses	8	(226,520)	<i>(146,983)</i>
Other finance (expense)/income	9	(651,518)	<i>1,936,900</i>
Reversal of impairment of investment in subsidiary	11	<i>-</i>	<i>369,870</i>
(Loss)/profit before income tax		(1,904,031)	<i>2,486,073</i>
Income tax expense	10	<i>-</i>	<i>-</i>
(Loss)/profit for the financial year		(1,904,031)	<i>2,486,073</i>

There were no recognised gains and losses for the financial years ended 31 December 2017 and 30 December 2018 other than those included in the income statement. As a result a statement of other comprehensive income is not presented.

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**STATEMENT OF FINANCIAL POSITION
AS AT 30 DECEMBER 2018**

		30 December 2018 €000	30 December 2018 €000	31 December 2017 €000	31 December 2017 €000
	Note				
Non current assets					
Investments in subsidiaries	11		35,835,512		34,265,245
			35,835,512		34,265,245
Current assets					
Cash and cash equivalents		8		8	
		8		8	
Trade and other payables: amounts falling due within one year	12	(13,314,421)		(13,406,911)	
Net current liabilities			(13,314,413)		(13,406,903)
Net assets			22,521,099		20,858,342
Capital and reserves					
Ordinary shares	13		14,876,844		13,626,844
Share premium	14		3,502,798		3,502,798
Capital redemption reserve	14		337,189		337,189
Other reserves	14		1,304		1,304
Capital contribution	14		368,374		368,374
Merger reserve	14		(4,612,304)		(6,929,092)
Retained earnings			8,046,894		9,950,925
Total equity			22,521,099		20,858,342

The financial statements were approved and authorised for issue by the board and were signed on its behalf:

Lorcan Travers
Director

Brendan O'Leary
Director

Date: 16 December 2019

Date: 16 December 2019

The notes on pages 13 to 28 form part of these financial statements.

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STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

	Ordinary shares €000	Share premium €000	Capital redemption reserve €000	Other reserves €000	Share based payment reserve €000	Capital contribution €000	Merger reserve €000	Retained earnings €000	Total equity €000
At 2 January 2017	1,492,680	10,959,118	-	-	1,304	368,374	(1,914,059)	7,464,852	18,372,269
Profit for the financial year	-	-	-	-	-	-	-	2,486,073	2,486,073
Total comprehensive income for the financial year	-	-	-	-	-	-	-	2,486,073	2,486,073
Redemption of shares to Ethicon Ireland and reduction of share premium	-	-	337,189	-	-	-	-	-	337,189
Shares issued during the financial year	12,230,280	-	-	-	-	-	-	-	12,230,280
Shares redeemed during the financial year	(96,116)	(241,073)	-	-	-	-	-	-	(337,189)
Transfer to other reserve	-	-	-	1,304	(1,304)	-	-	-	-
Reduction in share premium	-	(7,215,247)	-	-	-	-	7,215,247	-	-
Increase in share capital as part of merger with Janssen Pharmaceutical International Holdings Limited	-	-	-	-	-	-	(12,230,280)	-	(12,230,280)
Total transactions with owners	12,134,164	(7,456,320)	337,189	1,304	(1,304)	-	(5,015,033)	-	-
At 1 January 2018	13,626,844	3,502,798	337,189	1,304	-	368,374	(6,929,092)	9,950,925	20,858,342
Loss for the financial year	-	-	-	-	-	-	-	(1,904,031)	(1,904,031)

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STATEMENT OF CHANGES IN EQUITY (continued)
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

Total comprehensive loss for the financial year	-	-	-	-	-	-	-	(1,904,031)	(1,904,031)
Shares issued during the financial year (note 13)	1,250,000	-	-	-	-	-	-	-	1,250,000
Reduction in merger reserve due to merger with OMJ PR Holdings Limited (note 14)	-	-	-	-	-	-	2,316,788	-	2,316,788
Total transactions with owners	1,250,000	-	-	-	-	-	2,316,788	-	3,566,788
At 30 December 2018	14,876,844	3,502,798	337,189	1,304	-	368,374	(4,612,304)	8,046,894	22,521,099

The notes on pages 13 to 28 form part of these financial statements.

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

1. General information

Janssen Pharmaceutical is an investment holding company. It is a fully owned subsidiary of Johnson & Johnson.

On 20th March 2018, OMJ PR Holdings Limited merged with the company and transferred its assets and liabilities to Janssen Pharmaceutical.

The company is an unlimited entity, incorporated in the Republic of Ireland. The address of its registered office is Janssen Pharmaceutical, Little Island Industrial Estate, Little Island, Co Cork.

OMJ Pharmaceuticals, a company incorporated in the United States, is the company's immediate parent undertaking.

Johnson & Johnson, incorporated in the United States of America, is the company's parent undertaking.

Johnson & Johnson prepares group financial statements and is both the smallest and largest group for which group financial statements are drawn up and of which Janssen Pharmaceutical is a member. Copies of the consolidated financial statements may be obtained from the Secretary, Johnson & Johnson Inc., One Johnson & Johnson Plaza, New Brunswick, New Jersey 08933, USA.

As Janssen Pharmaceutical is included in the consolidated financial statements of Johnson & Johnson, it is exempt, by virtue of section 300 of the Companies Act 2014, from the requirement to prepare group financial statements.

As the company is a wholly owned subsidiary of Johnson & Johnson, the group financial statements of which are publicly available, advantage is taken from the exemption from disclosing transactions with group companies and from presenting a cash flow statement.

These financial statements are the company's separate financial statements for the financial year beginning 1 January 2018 and ending 30 December 2018.

The company's financial year ends on Sunday closest to 31 December, being 30 December 2018 for the current year (52 weeks) and 31 December 2017 for the prior year (52 weeks).

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

2. Accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2.1 Basis of preparation

The financial statements have been prepared on the going concern basis and in accordance with Irish GAAP, (accounting standards issued by the UK Financial Reporting Council and the Companies Act 2014). The financial statements comply with the Financial Reporting Standard 101, 'Reduced Disclosure Framework' ("FRS 101"), The Financial Reporting Standard applicable in the UK and Republic of Ireland and the Companies Act 2014 ("the Act"). The financial statements have been prepared under the historical cost basis with financial instruments designated at fair value through profit or loss on initial recognition.

As permitted by the Companies Act 2014, the directors have adapted the prescribed format of the income statement in a manner appropriate to the nature of the company's business.

The directors have elected to apply the amendments to Schedule III Part II of the Companies Act 2014, introduced by the Companies (Accounting) Act 2017, which allows the directors to adopt a balance sheet and profit and loss format in a different way than the formats as prescribed by Section B, provided that the information given is at least equivalent to that which would have been required by the use of such format. To ensure comparability, corresponding amounts have been disclosed in the same format.

The preparation of financial statements in conformity with FRS 101 requires the use of certain accounting estimates and assumptions that affect the reported amount of assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. It also requires management to exercise its judgement in the process of applying the company's accounting policies. Although these estimates are based on management's best knowledge of the amount, event or actions, actual results ultimately may differ from those estimates. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 3 (Critical accounting estimates and judgements).

FRS 101 sets out a reduced disclosure framework for a 'qualifying entity' as defined in FRS 101 which addresses the financial reporting requirements and disclosure exemptions in the financial statements of qualifying entities that otherwise apply the recognition, measurement and disclosure requirements of EU-adopted IFRS.

The company is a qualifying entity for the purposes of FRS 101. Detail of the company's parent and where its consolidated financial statements prepared in accordance with Generally Accepted Accounting Practice considered to be an equivalent to IFRS may be obtained as set out in note 1 to the financial statements.

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

2. Accounting policies (continued)

2.1 Basis of preparation (continued)

In accordance with FRS 101, the company has availed of an exemption from the following requirements of IFRS:

- Paragraphs 91 to 99 of IFRS 13, 'Fair value measurement' (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities)
- Paragraph 38 of IAS 1, 'Presentation of financial statements' comparative information requirements in respect of:
 - Paragraph 79(a) (iv) of IAS 1;
- The following paragraphs of IAS 1, 'Presentation of financial statements':
 - 10 (d) (statement of cash flows)
 - 16 (statement of compliance with all IFRS)
 - 38A (requirement for minimum of two primary statements, including cash flow statements)
 - 38B-D (additional comparative information)
 - 111 (cash flow statement information)
 - 134-136 (capital management disclosure)
- IAS 7, 'Statement of cash flows'
- Paragraph 30 and 31 of IAS 8 'Accounting Policies, changes in accounting estimates and errors' (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective)
- Paragraph 17 of IAS 24, 'Related party disclosures' (key management compensation), and
- The requirements in IAS 24, 'Related party disclosures' to disclose related party transactions entered into between two or more members of a group.
- The requirements of paragraphs 134(d)-134(f) and 135(c)-135(e) of IAS 36 Impairment of Assets

The remaining exemptions available under the framework are not applicable to the company at this time.

2.2 New standards, amendments and IFRIC interpretations

IFRS 9 is the new accounting standard that is effective for the year ended 30 December 2018 and has not had a material impact, on the company, see (note 17). There are no other amendments to accounting standards, or IFRIC interpretations that are effective for the year ended 30 December 2018 that have had a material impact on the company.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

2. Accounting policies (continued)

2.3 Going concern

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end of €13,314,413,000 (2017: €13,406,903,000).

The company is reliant on implicit support from its ultimate parent company Johnson & Johnson. The company actively monitors the cash flow with the intention to enable a gradual repayment of the outstanding payable position. The company has a number of subsidiaries which have healthy cash flows which can sustain such a gradual repayment.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

2.4 Financial instruments

The company classifies its financial assets in the following categories: at fair value through profit or loss; and loans and receivables. The classification depends on the purpose for which the financial assets were acquired. Management determines the classification of its financial assets at initial recognition.

a) Financial assets at fair value through profit or loss

The following financial assets are classified at fair value through profit or loss (FVTPL):

- Debt investment that do not qualify for measurement at amortised cost
- Equity investments that are held for trading, and
- Equity investments for which the entity has not elected to recognise fair value gains and losses through OCI.

b) Financial liabilities at amortised cost

Financial liabilities are measured at amortised cost.

c) Loans and payables

Loans and payables are not-derivative financial liabilities with fixed or determinable payments that are not quoted in an active market. They consist of amounts owed to fellow subsidiaries and are included in current liabilities.

2.5 Impairment of financial assets

Assets carried at amortised cost.

The company assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss' event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

2. Accounting policies (continued)

2.6 Investment in subsidiaries

Investments in subsidiaries are recorded at cost, less accumulated impairment losses.

2.7 Cash and cash equivalents

Cash and cash equivalents includes cash on hand, deposits held with banks, other short term highly liquid investments with original maturities of three months or less.

2.8 Trade and other receivables

Trade and other receivables are amounts due for services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business, if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade and other receivables are recognised initially and subsequently measured at amortised cost using the effective interest method, less provision for impairment.

The company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all amounts owed by fellow subsidiary undertakings.

To measure the expected credit losses, amounts owed by fellow subsidiary undertakings have been grouped based on shared credit risk characteristics and the days past due.

2.9 Trade and other payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers.

Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. Accruals and deferred income comprise expenses relating to the current year which will not be invoiced until after the date of the statement of financial position, and income received in advance relating to the following year.

2.10 Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from the proceeds.

2.11 Interest income

Interest income is recognised in the income statement using the effective interest method.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

2. Accounting policies (continued)

2.12 Foreign currency translation

(a) Functional and presentation currency

Items included in the financial statements of the company are measured using the currency of the primary economic environment in which the company operates ('the functional currency'). The financial statements are presented in Euro (€), which is also the company's functional currency and unless otherwise stated the financial statements have been presented in thousands ('000).

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

2.13 Interest payable

Interest payable is recognised in the income statement on an accruals basis.

2.14 Dividend income

Dividend income is recognised when the right to receive payment is established.

2.15 Dividend distributions

Dividend distributions to the company's shareholders are recognised as a liability by the company's financial statements in the financial year in which the dividends are approved by the company's shareholders.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

2. Accounting policies (continued)

2.16 Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; or arise from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates that have been enacted or substantively enacted by the date of the statement of financial position and are expected to apply when the related deferred income tax asset or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

2.17 Corresponding amounts

Certain corresponding amounts have been adjusted so they are directly comparable with the amounts shown in respect of the current financial year.

3. Critical accounting estimates and judgements

The company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below:

a) Carrying value of investment in subsidiaries

Investments in subsidiaries are carried at amortised cost. The company assesses at the end of each reporting period whether there is objective evidence that an investment in subsidiary is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss' event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. (Refer to note 11 for details of the carrying value of investments in subsidiaries at year end).

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

4. Operating loss

Operating loss is stated after charging/(crediting):

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Foreign exchange loss	-	(1)
Other operating expenses	42	6,989
Net operating expenses	42	6,988

The company has no employees. It uses the services of other Johnson & Johnson affiliates.

The directors did not receive remuneration from the company during the financial year (2017: €nil).

5. Auditors' remuneration

Remuneration for the statutory audit and other services carried out for the company by the company's auditors is as follows:

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Audit of financial statements (including expenses)	27	10
	27	10

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NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

6. Income from investments in subsidiaries

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Dividends received from investments in subsidiaries	-	333,230
	<u>-</u>	<u>333,230</u>

7. Interest receivable and similar income

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Other interest receivable	-	44
	<u>-</u>	<u>44</u>

8. Interest payable and similar expenses

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Interest payable to group companies	226,520	146,983
	<u>226,520</u>	<u>146,983</u>

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**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

9. Other finance (expense)/income

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Differences arising on translation of foreign currency assets and liabilities	(651,518)	1,937,100
Fair value losses on derivative financial instruments	-	(200)
	(651,518)	1,936,900

10. Income tax

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
Total tax on (loss)/profit	-	-

Factors affecting tax charge for the financial year

The tax assessed for the financial year is lower than (2017: *lower than*) the standard rate of corporation tax in Ireland of 12.5% (2017: 12.5%). The differences are explained below:

	Financial year ended 30 December 2018 €000	<i>Financial year ended 31 December 2017 €000</i>
(Loss)/profit before income tax	(1,904,031)	2,486,073
(Loss)/profit multiplied by standard rate of corporation tax in Ireland of 12.5% (2017: 12.5%)	(238,004)	310,759
Effects of:		
Non-taxable income	-	(310,759)
Expenses not deductible for tax purposes	238,004	-
Total tax expense included in the income statement	-	-

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

11. Investments in subsidiaries

	Investments in subsidiary companies €000
Cost	
At 1 January 2018	34,265,245
Additions	2,596,218
At 30 December 2018	36,861,463
Accumulated impairment	
At 1 January 2018	-
Charge for the year	1,025,951
At 30 December 2018	1,025,951
Net Book Value	
At 30 December 2018	35,835,512
At 31 December 2017	34,265,245

Additions of €2,596,218,000 during the financial year 2018 relates to investment in subsidiary with OMJ Holding GmbH and the merger with OMJ PR Holdings Limited on 20 March 2018.

During the 2017 financial year the impairment losses previously recognised for Turnbuckle Investment Unlimited Company €369,870,000 were reversed as the previous provision for impairment is no longer necessary as the value of the company is greater than the value of the investment held before provision.

During the 2018 financial year, the investment in Depuy Ireland Unlimited Company was written down by €1,025,951,000. The total impairment of €1,025,951,000 was charged to the income statement. This was due to an impairment indicator noted due to the commissioning of an independent valuation report on underlying financial assets.

Subsidiary undertakings

The following were subsidiary undertakings of the company:

Name	Country of incorporation & registered office	Class of shares	Holding	Principal activity
Jansen Pharmaceutical Sciences Unlimited Company	Little Island Industrial Estate, Little Island, Co Cork, Ireland	Ordinary	99.99 %	Manufacture and distribution of pharmaceutical and medical products

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

11. Investments in subsidiaries (continued)

Turnbuckle Investment Company	c/o Janssen Pharmaceutical Sciences Unlimited Company, Little Island Industrial Estate, Little Island, Co Cork	Ordinary	99.99 %	Treasury management
Janssen Alzheimer Immunotherapy (Holding) Limited	Little Island Industrial Estate, Little Island, Co Cork, Ireland	Ordinary	100 %	Holding company
Ethicon PR Holdings Unlimited Company	c/o Janssen Pharmaceutical Sciences Unlimited Company, Little Island Industrial Estate, Little Island, Co Cork, Ireland	Ordinary	99.99 %	Holding company
OMJ Holding GmbH	Gubelstrasse 34, 6300, Zug, Switzerland	Ordinary	100 %	Pharmaceutical

Turnbuckle transferred ownership of its subsidiaries, Depuy Ireland Unlimited Company, Johnson & Johnson European Treasury Company and Johnson & Johnson Vision Care (Ireland) to Janssen Pharmaceutical on 28 June 2019.

The directors consider the value of the company's investment in the unlisted undertakings to be not less than the amount stated in the company's statement of financial position.

12. Trade and other payables: Amounts falling due within one year

	30 December 2018 €000	<i>31 December 2017 €000</i>
Trade payables	5	-
Amounts due to fellow subsidiary undertakings	13,314,416	13,406,911
	<u>13,314,421</u>	<u>13,406,911</u>

Amounts due to fellow subsidiary undertakings are unsecured, are interest bearing with a rate of 2.66% at year end (2017: 1.488%) and are repayable on demand.

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**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018**

13. Ordinary shares

Shares classified as equity

	30 December 2018 €000	31 December 2017 €000
Authorised		
16,000,000,000 (2017: 16,000,000,000) Ordinary shares of €1.25 each	20,000,000	20,000,000
Allotted, called up and fully paid		
11,901,474,820 (2017: 10,901,474,820) Ordinary shares of €1.25 each	14,876,844	13,626,844

	30 December 2018 €000	31 December 2017 €000
At beginning of financial year	13,626,844	1,492,680
Ordinary shares issued during the financial year (note 1)	-	12,230,280
Ordinary shares redeemed during the financial year (note 2)	-	(96,116)
Ordinary shares issued due to merger (note 3)	1,250,000	-
At end of financial year	14,876,844	13,626,844

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

13. Ordinary shares (continued)

1. On 26th December 2016 Ethicon Ireland Unlimited transferred its interest in Ethicon PR Holdings Unlimited Company to Janssen Pharmaceutical in exchange for new shares in Janssen Pharmaceutical.

Under the terms of the merger, Depuy Ortho, JNJ LLC and JNJ ULC received shares in Janssen Pharmaceutical as consideration for the transfer of assets and liabilities of Janssen Pharmaceutical International Holdings Limited to Janssen Pharmaceutical.

2. Pursuant to the merger of Janssen Pharmaceutical International Holdings Limited, the company acquired 1,196,940 shares during the financial year 2015. Subsequently these shares were cancelled by way of share capital reduction.

On 5th December 2017, pursuant to the constitution of the company the issued share capital was reduced by 76,829,677 ordinary shares held by Ethicon Ireland Unlimited Company, without any consideration being paid in respect thereof.

3. On 20th March 2018, OMJ PR Holdings Limited merged with Janssen Pharmaceutical. Under the terms of the merger, OMJ Pharma and JNJ ULC received shares in Janssen Pharmaceutical as consideration for the transfer of assets and liabilities of OMJ PR Holdings Limited to Janssen Pharmaceutical. 500,000,000 ordinary shares at €1.25 in Janssen Pharmaceutical will be issued to OMJ Pharma and 500,000,000 ordinary shares of €1.25 in Janssen Pharmaceutical were issued to JNJ ULC in consideration for the transfer of assets and liabilities of OMJ PR Holdings Limited to Janssen Pharmaceutical. No cash payment will be made to the shareholders of OMJ PR Holdings Limited pursuant to the merger.

14. Share premium

The share premium account represents the amounts paid in excess of the nominal value of ordinary shares by the shareholder of the company in respect of ordinary shares issue.

During the financial year 2017 there was a reduction in share premium of €241,073,000 relating to the redemption of shares issued to Ethicon Ireland. Share premium of €7,215,247,000 was reclassified to merger reserve, arising from the merger with Janssen Pharmaceutical International Holdings.

Capital redemption reserve

On 5th December 2017, issued share capital was reduced by 76,892,677 ordinary shares held by Ethicon Ireland Unlimited Company, without any consideration being paid in respect thereof.

During the financial year 2017 there was a reduction in share premium of €241,073,000 relating to the redemption of shares issued to Ethicon Ireland.

Other reserves

Share based payment reserve of €1,304,000 was reclassified to other reserves in 2017. On 1 January 2017 all Janssen Pharmaceutical employees were transferred to Janssen Pharmaceutical Sciences Unlimited Company.

JANSSEN PHARMACEUTICAL

NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

Merger reserve

On 23 December 2016, Janssen Pharmaceutical International Holdings Limited merged with the company and transferred its assets and liabilities to Janssen Pharmaceutical which resulted in a negative merger reserve of €1,914,059,000.

As a result of the merger with Janssen Pharmaceutical International Holdings Limited, there was an increase in share capital of €12,230,280,000. Share premium of €7,215,247,000 was reclassified from share premium, to merger reserve, arising from the merger with Janssen Pharmaceutical International Holdings.

On 20th March 2018 OMJ PR Holdings Limited merged with Janssen Pharmaceutical and transferred its assets and liabilities to Janssen Pharmaceutical resulting in a positive movement to the merger reserve of €2,316,788,000.

As a result of the merger with OMJ PR Holdings Limited, there was an increase in share capital of €1,250,000,000.

15. Subsequent events

There have been no events impacting the company since the financial year end.

16. Changes in accounting policy

This note explains the impact on the adoption of IFRS 9 Financial Instruments on the company's financial statements.

(a) Impact on the financial statements

This is the first year that the company has presented its results under IFRS 9. The date of transition to IFRS 9 was 1 January 2018. There were no measurement adjustments arising from the company's transition to IFRS 9 at 30 December 2018 or at the comparative date 1 January 2018. Therefore, the profit for the financial year ended 31 December 2017 and the total equity as at 2 January 2017 and 31 December 2017 remains consistent under IFRS 9 with that previously reported under old accounting standards. The considerations by management are explained in more detail below.

(b) IFRS 9 Financial Instruments

IFRS 9 replaces the provision of IAS 39 that relate to the recognition, classification and measurement of financial assets and financial liabilities, derecognition of financial instruments, impairment of financial instruments and hedge accounting.

The adoption of IFRS 9 Financial Instruments from 1 January 2018 resulted in changes in accounting policies but not adjustments to the amounts recognised in the financial statements. The new accounting policies are set out in note 2.4.

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NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 DECEMBER 2018

16. Changes in accounting policy (continued)

Impairment of financial assets

The company has one type of financial assets that is subject to IFRS 9's new expected credit loss model:

- Amounts owed by fellow subsidiary undertakings

The company was required to revise its impairment methodology under IFRS 9 for this class of asset. The impact of the change in impairment methodology had no impact on the company's retained earnings and equity.

For amounts owed by fellow subsidiary undertakings that are repayable on demand, expected credit losses are based on the assumption that repayment of the loan is demanded at the reporting date. If the borrower has sufficient accessible highly liquid assets in order to repay the loan if demanded at the reporting date, the expected credit loss is likely to be immaterial.

The amounts owed by fellow subsidiaries at year end were assessed and no material loss was noted. the company has an outstanding intercompany asset due from an affiliate company of €970,620,000 (2017: €nil). The terms of this balance are that it is repayable on demand. Management have reviewed the liquid asset position to the affiliate company at 1 January 2018 and 30 December 2018, and concluded that its cash balances and net asset position support the conclusion that the liability could be repaid. Management has determined that any expected credit losses would therefore be immaterial.

17. Approval of financial statements

The financial statements were approved and authorised for issue by the board of directors on 16 December 2019 and were signed on its behalf on that date.